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Equity Strategy

The geopolitics driven derisking is progressing; Reiterate AI related derating is likely done, for now

- In our March chartbook, we argued that this latest geopolitical escalation might have a relatively limited lifespan, so that it will ultimately be an opportunity to add, post the initial bout of derisking. Proverbially, things might need to get worse before they can get better, with **further weakness over the next days**, but we continue to think that this base case should not change, and that one should **be prepared to step in before long**. We believed **this time horizon will be days/weeks, rather than months/quarters**.
- **The position squaring and reduction in risk**, from what were bullish exposures just ahead of the escalation, **is advancing,** with oversold areas starting to appear. We continue to find the political calendars a timing constraint, as well as almost full Middle East oil storages. **This could lead to further oil price spikes in the very short term**, as the upmove to date is far from extreme, smaller than the Russia-Ukraine driven rally. This, together with potential additional increases in bond yields, suggests to us that hostilities are not likely to last for an extended period. US public opinion is staying out of favour over this recent escalation, and notably this is not just on the left of center, but on the strong right, too. That might become more visible as time goes on, especially as **US gasoline price is sharply up, by 10-15% in the past week**. Finally, given the extreme disparity in military capabilities, we believe that at any time the US decides to stop, the hostilities from the other side will likely stop, too.
- The equity markets typically make a low at the point of the most negative sentiment, and in light of the considerations above, **we would not be surprised if that materializes this or next week**. In the next 1-2 weeks we would consider starting to add to Industrials, Semis, to Discretionary names, and to EM and Eurozone regionally.
- We also highlighted that **hyperscalers & Anti-AI trade have both seen significant weakness**. We were uncomfortable with hyperscalers and outright bearish on AI cannibalisation areas – Software, Media, Business Serv. etc. – entering this year (Year Ahead), but **last week argued that there could be some tactical respite**. The space got pretty much indiscriminately oversold – middle chart – and could see some better trading for a while. Bottom chart shows **AI losers' P/E relative moving to record lows**. Stocks pairwise correlations became too high, suggesting no fundamental differentiation. Combined with geopolitics, this is helping US recover its relative perf., from what was a big -11% vs World AC ex US ytd just ahead of the attack on Iran.
- Having said that, while **the group likely recovers initially – we note it outperformed by a meaningful 11% last week** – one should be selective in what to add to for the medium term, beyond an initial technical rebound. In the report we have a list of AI at-risk names that our analysts believe should be differentiated, and could trade less negatively beyond just a short-term bounce.

Equity Strategy

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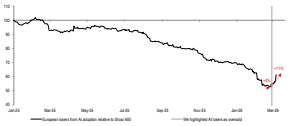
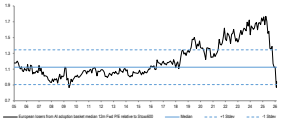
Derisking driven by latest escalation is advancing. Once position squaring is done, we believe weakness should be used to step in, sometime over the next 1-2wks

We noted last week that underperformance of AI losers baskets appeared overdone… stabilisation in this area could be an important positive for the broader market…



…indeed, P/E relative of the losers moved to record lows… to be sure, we think many of these will end up adversely affected longer term, but the market should start to differentiate more



Source: J.P. Morgan, Bloomberg Finance L.P., IBES

See page 22 for analyst certification and important disclosures, including non-US analyst disclosures.

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The geopolitics driven derisking is progressing; Reiterate AI related derating is likely done, for now

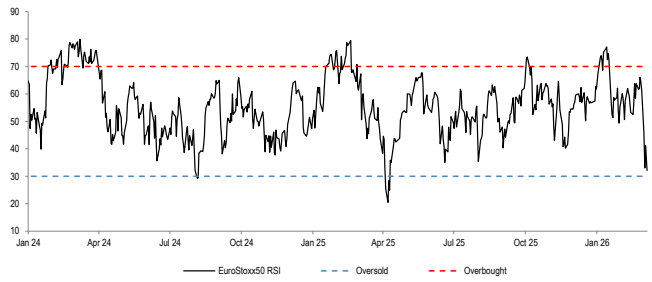
Geopolitical escalation is unlikely to derail the bullish setup for equities

Figure 1: Brent since Jan '25

Source: Bloomberg Finance L.P.

The latest geopolitical tensions have driven oil prices higher, though the increase remains modest by historical standards and should not materially change the favorable macroeconomic outlook we maintain. By contrast, the Russia-Ukraine conflict caused oil prices to spike by over 80%.

Figure 2: SX5E RSI



Source: Bloomberg Finance L.P.

Position squaring and risk reduction from what were bullish exposures just ahead of the escalation is now well advanced, with oversold areas starting to appear across multiple metrics.

Table 1: SX5E performance when RSI hits 30 for the first time

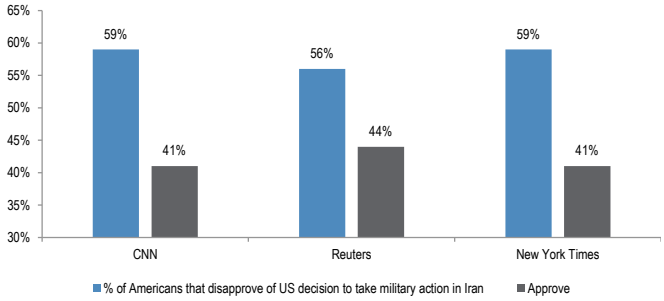
SX5E performance when RSI hits 30 for the first time				
	+1wk Returns	+1m Returns	+3m Returns	+6m Returns
26-Nov-21	0%	4%	-3%	-9%
24-Feb-22	-2%	1%	-5%	-4%
09-May-22	4%	6%	5%	6%
27-Sep-22	5%	8%	15%	25%
05-Aug-24	2%	5%	7%	15%
04-Apr-25	-2%	8%	8%	16%
Average	**1%**	**5%**	**5%**	**8%**
Median	**1%**	**5%**	**6%**	**11%**
% of times +ve	**50%**	**100%**	**67%**	**67%**

Source: Bloomberg Finance L.P.

Historically, the EuroStoxx50 has shown positive returns in the month following each of the last six instances when its RSI dropped below 30.

We believe the current derisking presents a buying opportunity, with the timing horizon measured in days/weeks rather than months/quarters

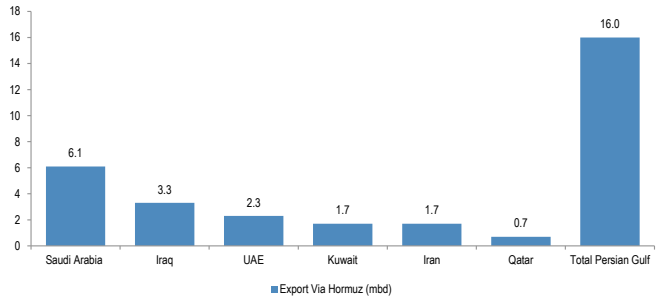
Figure 3: US public opinion on military action in Iran



Source: Bloomberg Finance L.P., Various Polls

US public opinion remains decidedly opposed to this recent escalation. By contrast, during the Iraq War, polling showed respondents were generally more supportive than opposed to American military action.

Figure 4: Exports via Strait of Hormuz for key Gulf countries



Source: J.P. Morgan. Commodity Research

During this ongoing conflict, we anticipate that maritime traffic through the Strait of Hormuz will likely be very limited. This strait represents a vital chokepoint for global oil and gas commerce, with approximately 20% of the world's oil supply transiting through its waters.

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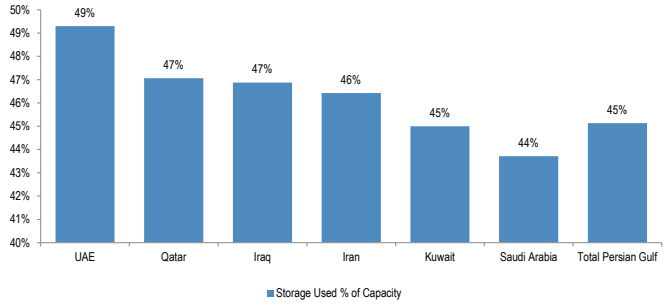
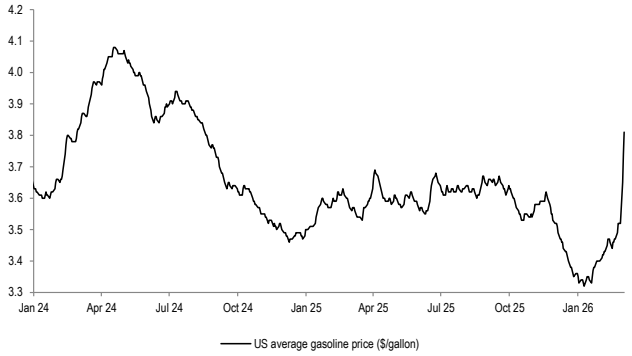
Figure 5: Proportion of oil storage capacity used by key Gulf countries



Source: J.P. Morgan. Commodity Research, as of 3rd March 2026

Our commodities team's analysis indicates that oil storage facilities throughout the Gulf region are rapidly reaching capacity, potentially forcing production halts. UAE, Iraq and Kuwait have already cut production. Such involuntary shut-downs may drive oil prices even higher, pushing them toward or above the $100 threshold.

Figure 6: US average gasoline price



Source: Bloomberg Finance L.P.

US gasoline prices have escalated to levels not observed since August 2024, thereby contributing to the mounting pressures on the Trump administration's domestic priorities.

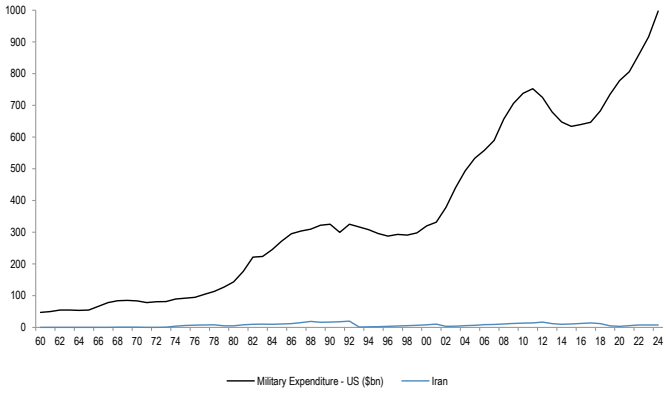
Table 2: US Political Calendar

Date	Event
17-Mar-26	Illinois State Elections
05-May-26	Ohio State Elections
16-May-26	Louisiana State Elections
19-May-26	Georgia and Kentucky State Elections
02-Jun-26	California and Iowa State Elections
09-Jun-26	Maine and South Carolina State Elections
23-Jun-26	New York State Elections
21-Jul-26	Arizona State Elections
04-Aug-26	Michigan State Elections
11-Aug-26	Minnesota and Wisconsin State Elections
01-Sep-26	Massachusetts State Elections
08-Sep-26	New Hampshire State Elections
03-Nov-26	US Mid Term Elections

Source: Bloomberg Finance L.P.

With midterm elections approaching later this year, the Trump administration faces political considerations that could discourage prolonging the conflict beyond a few weeks.

Figure 7: US and Iran military expenditure



Source: World Banks

Another factor to consider is the vast asymmetry in military strength between Iran and the US. With a defense budget approximately 125 times larger, and superiority in air and naval forces, the US holds a decisive advantage. We assess that hostilities will likely cease whenever the US chooses to end them, as Iran would likely follow suit.

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Table 3: SPX performance around past wars

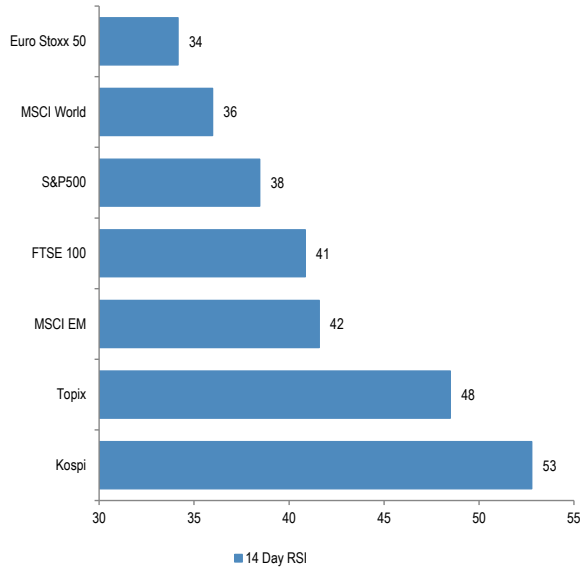
		SPX Performance					
	Start	-5d	+5d	+1m	+3m	+6m	Max drawdown (from start)
Arab-Israeli War	15-May-48	-2.1%	7.2%	10.9%	2.0%	-0.8%	0.0%
Korean War	25-Jun-50	0.9%	-7.6%	-10.0%	1.5%	4.9%	-12.9%
Algerian War	01-Nov-54	-0.5%	3.9%	6.9%	15.5%	19.4%	-0.3%
Vietnam War	01-Nov-55	-0.8%	4.4%	7.3%	4.1%	13.9%	0.0%
Six-Day War	05-Jun-67	-2.3%	4.1%	3.3%	6.5%	7.7%	-0.2%
War of Attrition	08-Mar-69	0.5%	-0.7%	1.5%	3.5%	-6.0%	-0.7%
Yom Kippur War	06-Oct-73	1.3%	1.4%	-4.5%	-10.0%	-15.3%	-16.1%
Iran-Iraq War	22-Sep-80	3.8%	-5.3%	1.2%	4.1%	2.8%	-5.3%
Falkland Islands War	02-Apr-82	2.8%	1.0%	1.1%	-6.5%	6.0%	-6.9%
Gulf War	02-Aug-90	-1.2%	-3.3%	-8.2%	-11.3%	-2.4%	-15.9%
Kosovo Conflict	05-Mar-98	-1.3%	3.4%	8.5%	7.6%	-5.9%	0.0%
Afghan War	07-Oct-01	2.9%	1.9%	4.1%	8.7%	4.8%	-1.4%
Iraq war	20-Mar-03	5.3%	-0.8%	2.0%	13.7%	18.3%	-3.1%
Libyan Civil War	15-Feb-11	0.3%	-0.9%	-3.5%	0.7%	-9.3%	-5.4%
Syrian Civil War	15-Mar-11	-3.0%	0.9%	2.9%	-1.3%	-5.7%	-1.9%
Annexation of Crimea	23-Feb-14	-0.1%	1.3%	1.6%	3.5%	8.3%	-1.1%
Yemeni Civil War	15-Sep-14	-0.9%	0.5%	-6.1%	0.3%	3.5%	-6.1%
Ukraine / Russia war	21-Feb-22	-1.2%	0.6%	2.6%	-10.3%	-2.8%	-10.3%
Israel / Gaza War	07-Oct-23	0.5%	0.4%	1.6%	9.0%	20.8%	-4.4%
Israel / Iran War	13-Jun-25	-0.4%	-0.2%	4.7%	10.2%	14.2%	-0.2%
Median		**0.1%**	**0.8%**	**1.8%**	**2.8%**	**3.2%**	**-2.9%**
Average		**0.3%**	**0.6%**	**1.4%**	**2.5%**	**3.6%**	**-4.5%**

Source: Bloomberg Finance L.P.

Equity markets typically make a low at the point of the most negative sentiment. In light of the considerations above, we would not be surprised if that materializes in the coming days. Historical precedent shows markets typically bottom within 5-10 trading days of peak fear, followed by sharp recoveries.

Within the market, we see tactical opportunities emerging in oversold areas

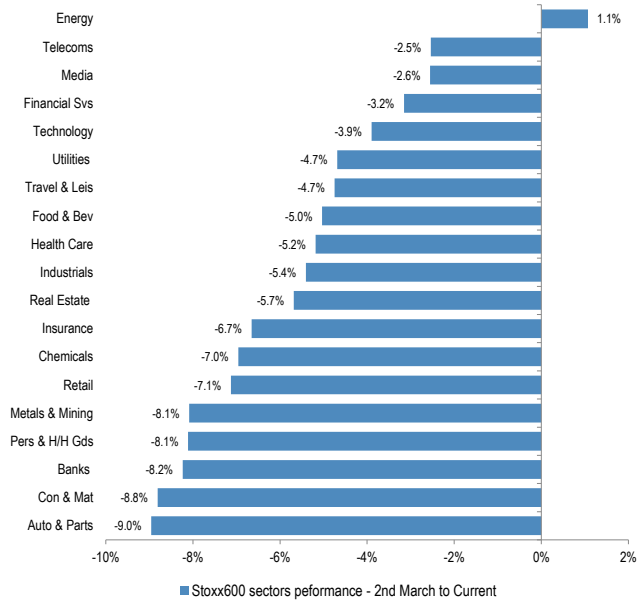
Figure 8: Key regions RSI



Source: Bloomberg Finance L.P.

Over the past week, equity markets experienced significant volatility. International markets gave back more than half of their year-to-date gains relative to the US, with the Eurozone and emerging markets experiencing the steepest declines. We view this as a potential buying opportunity in these regions going forward.

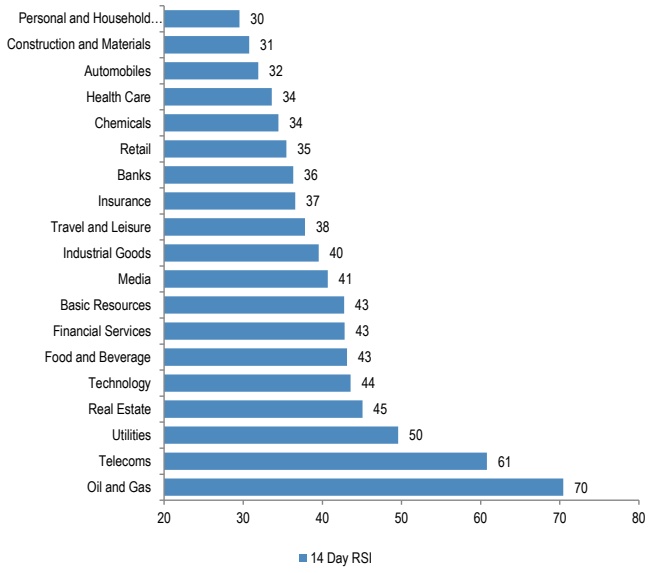
Figure 9: Stoxx600 sectors peformance - 2nd March to Current



Source: Bloomberg Finance L.P.

At the sector level, cyclical sectors including Autos, Construction Materials, and Banks have led the downturn. We expect these sectors to potentially reverse course and recover. Furthermore, we believe the pullback in Industrials and Semiconductor stocks offers an attractive entry point for investors.

Figure 10: Stoxx 600 sectors RSI



Source: Bloomberg Finance L.P.

European HPC, Autos and Construction Materials sectors screen attractive on technical measures such as RSI.

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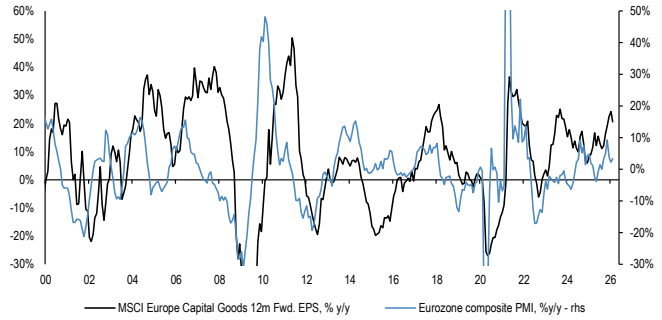
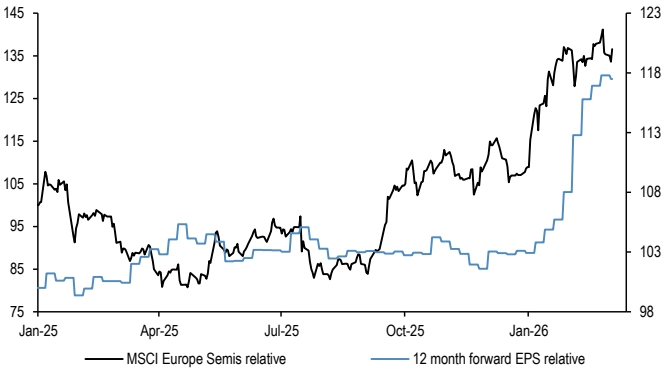
Figure 11: MSCI Europe Cap Goods 12m Fwd EPS and Eurozone Composite PMI



Source: Datastream

The weakness in European Industrials is at odds with the solid order books and improving PMIs. Notably, earnings revisions for European Industrials have remained positive.

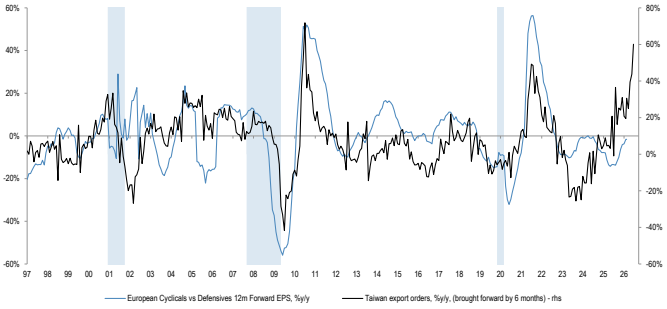
Figure 12: MSCI Europe Semis relative - Price and 12m Fwd EPS



Source: Datastream, IBES

The Semiconductor sector is also seeing strong earnings momentum.

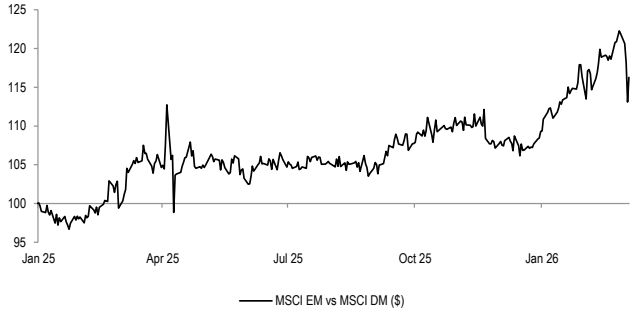
Figure 13: European Cyclicals vs Defensives 12m Fwd EPS and Taiwan Export Orders



Source: IBES,J.P. Morgan.

We expect Cyclicals as a group to experience strengthening earnings momentum, provided macroeconomic tailwinds remain intact.

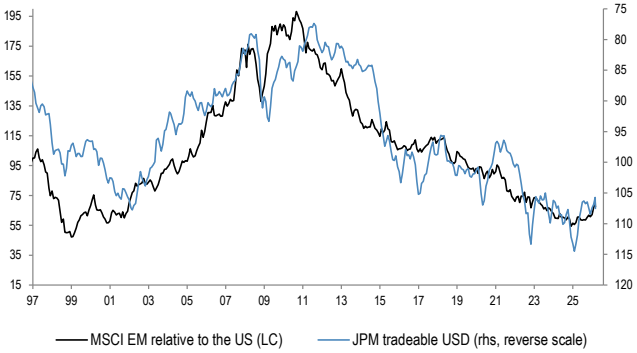
Figure 14: MSCI EM vs DM since Jan '25



Source: Datastream

Emerging market equities have been hit particularly hard, underperforming DM by 5% last week. However, positioning remains light and with valuations attractive at 12x forward P/E (38% discount to DM), we see compelling risk-reward.

Figure 15: MSCI EM vs DM and USD since '97



Source: Datastream, Bloomberg Finance L.P.

The recent USD strength has been a headwind for EM equities, but our FX team expects this to reverse as geopolitical tensions ease.

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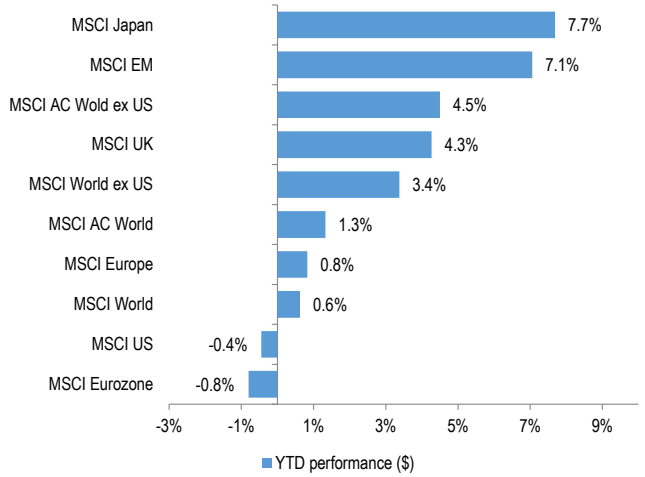
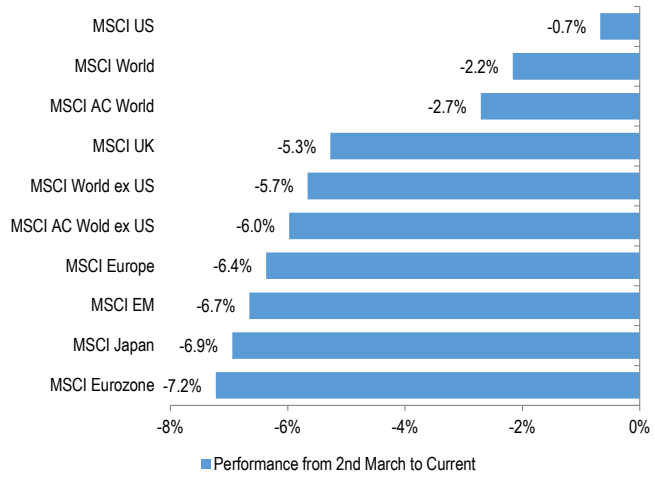
Figure 16: Key regions - YTD performance



Source: Datastream

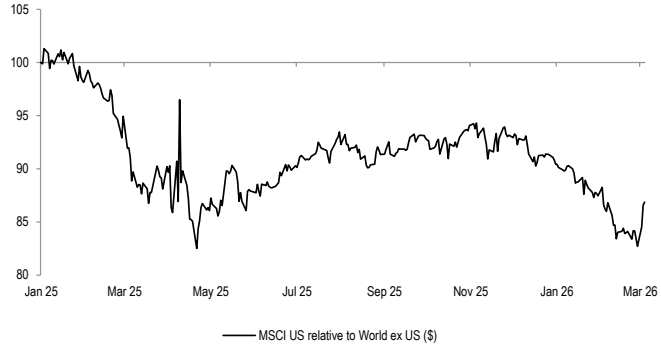
Figure 17: Key regions - performance from 2nd March to current



Source: Datastream

International equities have lost more than half of this year's outperformance over the US in the last week as risk-off sentiment spread and the dollar rebounded.

Figure 18: MSCI US vs World ex US since Jan '25

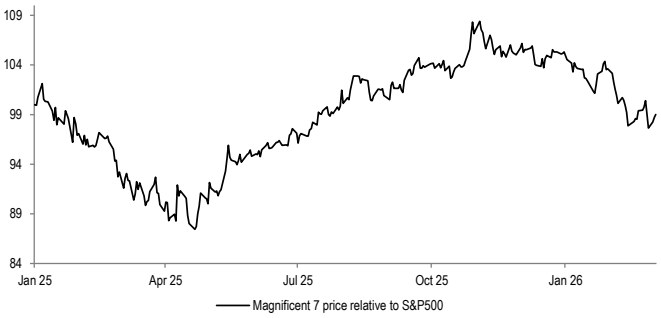


Source: Datastream

The bounce in US mega-cap tech has helped narrow the performance gap versus international markets, but we do not believe this changes the medium-term case for international outperformance.

The hyperscalers and Anti-AI trade have both seen significant weakness, creating tactical opportunities

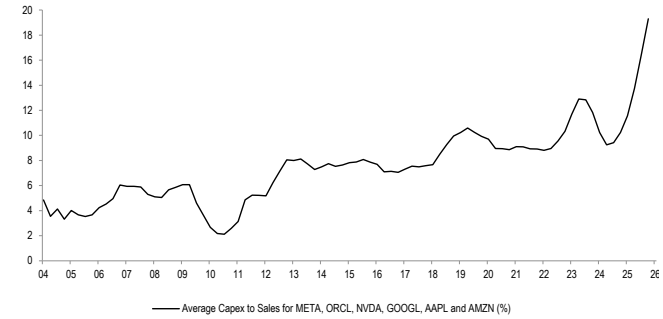
Figure 19: Mag 7 relative to S&P500



Source: Bloomberg Finance L.P.

In our March chartbook we highlighted that hyperscalers have seen significant weakness. We were uncomfortable with hyperscalers entering this year - see our Year Ahead - but have argued that there could be some tactical respite.

Figure 20: Average Capex to Sales for AI stocks



Source: Bloomberg Finance L.P.

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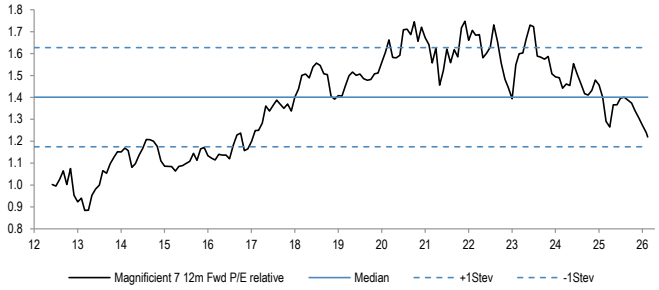
The market's concerns around hyperscalers center on the dramatic increase in capex intensity, with spending rising to 20% of revenue from historical average of 8%. This shift from asset-light to asset-heavy models has weighed on valuations.

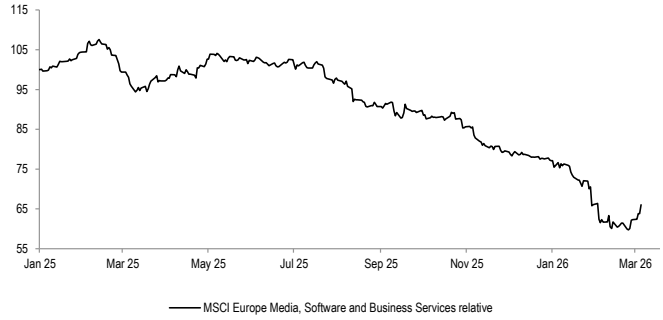
Figure 21: Mag 7 P/E relative to S&P500



Source: IBES

The valuation premium for these names has compressed significantly, with forward P/E multiples falling from 1.8x the S&P 500 to just 1.2x. While we remain cautious on the medium-term outlook, this de-rating creates scope for a tactical bounce.

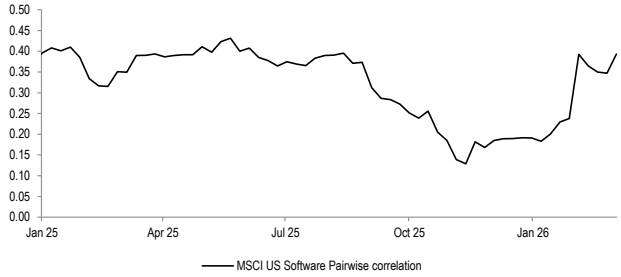
Figure 22: MSCI Europe Software, Media and Business Services relative



Source: Datastream

Sectors perceived as AI losers—Software, Media, and Business Services - have substantially underperformed the broader market over the past year as investors grappled with structural threats to their business models and long-term valuations.

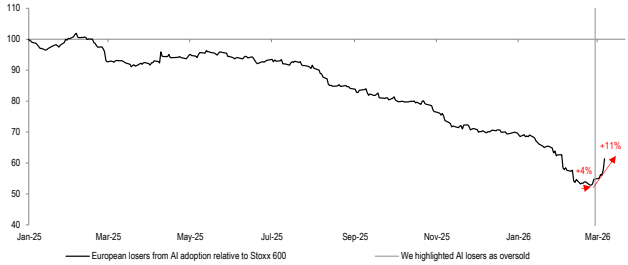
Figure 23: MSCI US Software pairwise correlation



Source: J.P. Morgan. Quantitative Strategy

However, we note that the stocks' pairwise correlation within the sector moved to the highs, suggesting that investors did not make any fundamental differentiation. We believe that these sectors could see some stabilization in the coming weeks.

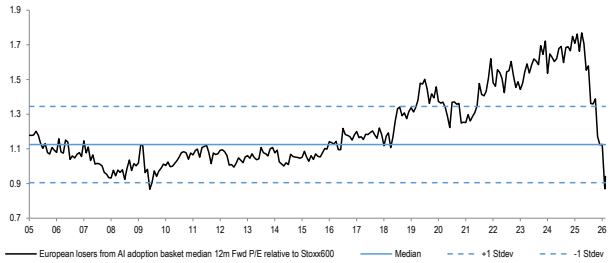
Figure 24: European losers from AI adoption relative to Stoxx 600



Source: Bloomberg Finance L.P.,J.P. Morgan.

Our AI losers basket has declined almost 50% since early last year.

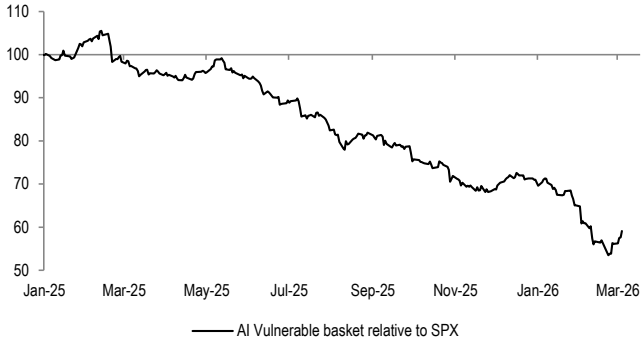
Figure 25: European losers from AI adoption basket median 12m Fwd P/E relative to Stoxx600



Source: IBES,J.P. Morgan.

However, we have observed recent signs of stabilization in these stocks' performance, with the basket gaining 15% since the lows in February 2026. In our March chartbook, we highlighted the potential for improved trading in these names given their steep underperformance and cheap valuations.

Figure 26: AI Vulnerable basket relative to S&P500



Source: J.P. Morgan.,Bloomberg Finance L.P.

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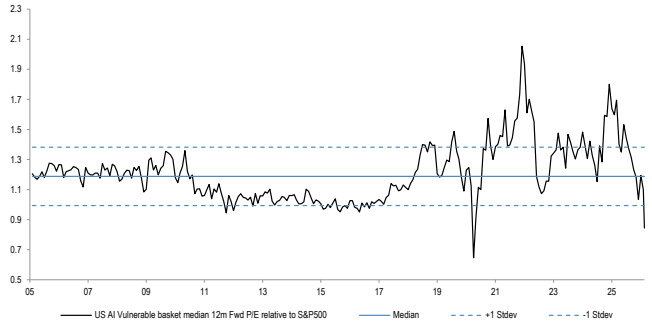
Even in the US, AI vulnerable plays have seen some better performance in recent trading.

Figure 27: US AI Vulnerable basket median 12m Fwd P/E relative to S&P500



Source: J.P. Morgan., IBES

This could sustain in the very near term given the extreme valuation discount the space is currently trading on.

Table 4: JPM European Losers from AI adoption - JPEUAIL Index

Name	Ticker	Sector
Adecco Group AG	ADEN SW	Industrials
Auto Trader Group PLC	AUTO LN	Comm. Srvcs
Capgemini SE	CAP FP	IT
Dassault Systemes SE	DSY FP	IT
Experian PLC	EXPN LN	Industrials
Nemetschek	NEM GR	IT
Pearson Plc	PSON LN	Discretionary
Publicis Groupe	PUB FP	Comm. Srvcs
Quilter Plc	QLT LN	Financials
Randstad NV	RAND NA	Industrials
RELX PLC	REL LN	Industrials
Rightmove PLC	RMV LN	Comm. Srvcs
Sage Group Plc	SGE LN	IT
SAP Se	SAP GR	IT
Scout24 Se	G24 GR	Comm. Srvcs
St James'S Place	STJ LN	Financials
Teleperformance SE	TEP FP	Industrials
Universal Music	UMG NA	Comm. Srvcs
Vend Marke Cl	VEND NO	Comm. Srvcs
Wolters Kluwer NV	WKL NA	Industrials
WPP Plc	WPP LN	Comm. Srvcs
Zalando SE	ZAL GR	Discretionary

Source: J.P. Morgan., Bloomberg Finance L.P., all stocks are liquidity weighted in the basket. This basket has been created to leverage the theme of this research report. It includes companies that are not covered by J.P. Morgan Research and should not be viewed as a recommendation with respect to these companies. For more details, see Appendix.

Our basket of AI-vulnerable stocks comprises companies whose business models face potential disruption from AI and risk product commoditization. Among these holdings, our analysts anticipate improved price performance for names such as SAP, Experian, RELX, St. James Place and Quilter as market assessment around AI-related risks for these companies shifts over time.

However, we remain cautious on the medium-term outlook for AI cannibalization areas

Table 5: MSCI Europe Software, Media and Business Services 2026e EPS change

	2026e EPS change from Nov peak to now
Software	-10%
Media	-6%
Business Services	-5%

Source: IBES

We think that these groups will longer term likely stay under pressure, as earnings will likely be impaired. In fact, earnings downgrades are already being seen across Software, Media and Business Services, with consensus 2026 EPS estimates falling 10%, 6%, and 5% respectively over the past three months.

Table 6: Sector analyst commentary on Software, Media and Business Services

Sector	Commentary
Software	Market's view of the software sector has become incrementally more negative, moving from "guilty until proven innocent" to "sentenced before trial." This reflects deepening skepticism, especially around long-term growth and terminal value, which are difficult to address with standard forecast horizons. Even better-than-expected results are not enough to shift sentiment unless companies can demonstrate that AI is a sustainable tailwind rather than a headwind for growth. The bear case is multi-faceted, including risks such as seat-based cannibalization, new AI-native competition, companies building their own solutions, and revenue model transition risk. These concerns are amplified by ongoing improvements in large language models and new agent product launches, leading to continued reductions in software exposure among investors.
Media	AI was a dominant narrative in the second half of 2025. There was a broader "AI loser universe" including Experian, WK, RELX, and PUB, which were down 3-10% on multiple days despite no newsflow. This was partly explained by a weaker dollar, driving modest 2-3% translational downgrades to media dollar earners, and possibly the market assigning a small multiple to FX downgrades on fears of further dollar weakness. Investors continue to struggle to understand the AI bear case for RELX, especially as AI is accelerating growth in Legal and STM division.
Business Services	Consensus forecasts for Business Services are "sensibly positioned" for modest organic growth and gradual margin improvement in 2026. Our sector analysts highlights that balance sheets are largely underleveraged following a quiet 2025 for M&A, and valuations are low relative to historical averages.
Wealth Management	Our sector analysts think that while AI innovation in financial advice is significant, the market overestimates the risk to traditional advisers, as clients still highly value personal relationships and emotional support. Local market structures and low financial literacy, especially in southern Europe, insulate some incumbents from disruption. The greatest risk is with younger, tech-savvy clients, so firms must adapt to capture this segment early. Overall, company-specific factors and regional differences mean the impact of AI will vary, and proactive firms are already investing to address these shifts.

Source: J.P. Morgan.

Our analysts generally expect these sectors to remain pressured by AI-related concerns, though we anticipate greater dispersion in performance among individual names within the sector.

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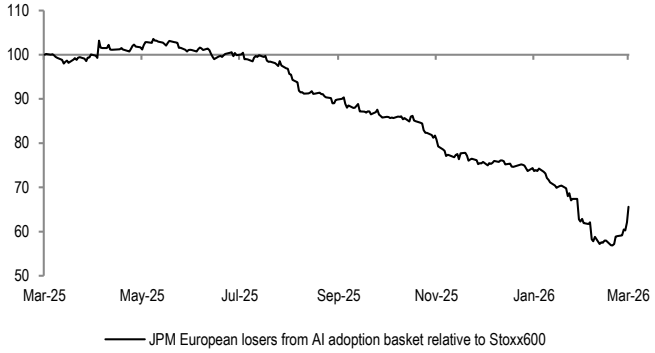
Appendix

Table 7: JPM European losers from AI adoption basket - JPEUAIL Index

Name	Ticker	Sector	JPM Rating	Price (LC)	Analyst Name
Adecco Group AG	ADEN SW	Industrials	UW	21.1	Karin So
Auto Trader Group PLC	AUTO LN	Comm. Srvcs	UW	472.7	Lara Simpson
Capgemini SE	CAP FP	IT	N	109.7	Toby Ogg
Dassault Systemes SE	DSY FP	IT	N	18.7	Toby Ogg
Experian PLC	EXPN LN	Industrials	OW	2755.0	Jane Sparrow
Nemetschek	NEM GR	IT	OW	68.3	Joseph George
Pearson Plc	PSON LN	Discretionary	OW	976.6	Daniel Kerven
Publicis Groupe	PUB FP	Comm. Srvcs	OW	75.8	Daniel Kerven
Quilter Plc	QLT LN	Financials	OW	184.2	Enrico Bolzoni
Randstad NV	RAND NA	Industrials	N	27.0	Jane Sparrow
RELX PLC	REL LN	Industrials	OW	2623.0	Daniel Kerven
Rightmove PLC	RMV LN	Comm. Srvcs	UW	441.6	Marcus Diebel
Sage Group Plc	SGE LN	IT	OW	834.2	Toby Ogg
SAP Se	SAP GR	IT	OW	171.7	Toby Ogg
Scout24 Se	G24 GR	Comm. Srvcs	OW	71.5	Marcus Diebel
St James'S Place	STJ LN	Financials	OW	1306.0	Enrico Bolzoni
Teleperformance SE	TEP FP	Industrials	NR	58.1	Jane Sparrow
Universal Music	UMG NA	Comm. Srvcs	OW	19.4	Daniel Kerven
Vend Marke Cl	VEND NO	Comm. Srvcs	UW	254.4	Marcus Diebel
Wolters Kluwer NV	WKL NA	Industrials	N	68.4	Daniel Kerven
WPP Plc	WPP LN	Comm. Srvcs	N	271.9	Daniel Kerven
Zalando SE	ZAL GR	Discretionary	N	20.2	Georgina Johanan

Source: Bloomberg Finance L.P., J.P. Morgan, all stocks are liquidity weighted in the basket. This basket has been created to leverage the theme of this research report. It includes companies that are not covered by J.P. Morgan Research (marked "NC") and should not be viewed as a recommendation with respect to these companies. Prices as of COB 5th Mar 2026

Figure 28: European losers from AI adoption basket relative



Source: J.P. Morgan.,Bloomberg Finance L.P.

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Equity Strategy Key Calls and Drivers

The dramatic Middle East events will naturally lead to risk-off behaviour in the markets in the short term, but if one is to have a time horizon longer than next days/weeks, on 3/6/12 months timeframe one should be using the weakness to add into, in our view. Military conflicts are of course unpredictable, but we suspect the escalation is unlikely to stick for long given political calendars, and we find the fundamental backdrop as constructive. The expected spike in oil price can last for a while, but is likely to end up faded, on excess supply. Beyond geopolitics, where we need to wait to see how events unfold, we look at market internals and fundamentals, both of which we find as supportive. In our Year Ahead, out last November, we looked for a broadening in leadership and style rotation, towards Value and small caps, and regionally towards International markets and EM vs DM outperformance for a second year in a row. Within this, we believed that Mag-7, while likely to keep delivering on earnings and on big capex increases, is at risk of derating and weaker performance than before. At the same time, we are still of the view that, even as hyperscalers stalled, this doesn't mean that anti-AI trade – stocks at risk of AI canibalisation, will necessarily be favoured instead. We assumed that both of these groups could be weaker together - in our outlook we argued that stocks at risk of AI could remain a "lose-lose" proposition. Despite big falls, we stay cautious on Software, Business Services and Media sectors, among other. Now, while the AI dynamic reinforces our style and regional preferences, we do not see it as becoming an increasing negative. This is especially as Mag-7 relative P/E has derated to near 10-year lows, and AI losers already had a big fall, derating to record. We think both these groups could stay laggards, but given the derating, the absolute downside might be more limited from here. Turning to fundamentals, activity momentum is staying resilient, consumer enjoys a positive wealth effect, and corporate capex should be helped by robust earnings delivery. Beyond near term risk-off, remain positioned for continued leadership broadening, but Mining rally might be maturing.

Table 8: J.P. Morgan Equity Strategy — Factors driving our medium-term views

Driver	Impact	Our Core Working Assumptions	Recent Developments
Global Growth	Neutral	Hard labour market data has been a bright spot, but that can change quickly	Global composite PMI is at 52.5
European Growth	Positive	Fiscal policy changes to drive upward GDP revisions	Eurozone Manufacturing PMI is at 0.8
Monetary Policy	Neutral	Fed on pause	
Currency	Positive	FX team has reversed their past bullish USD view	
Earnings	Positive	Eurozone earnings set to improve in 2026	2026 EPS projections are stabilizing
Valuations	Negative	At 22x, U.S. forward P/E is still stretched, especially vs real yield	MSCI Europe on 15.4x Fwd P/E
Technicals	Negative	Sentiment indicators appear overbought now, though positioning is still stretched	Households' equity weight as a share of total assets is at record high

Source: J.P. Morgan estimates

Table 9: Base Case and Risks

Scenario	Assumption
Upside scenario	Fed cuts rates while inflation remains in check and growth is stronger
Base-case scenario	Economic growth, lower inflation and Fed policy rate on hold, Geopolitical uncertainty subsides
Downside scenario	Fed cuts rates despite inflation picking up. Fed credibility in question, Geopolitical uncertainty escalates further

Source: J.P. Morgan estimates.

Table 10: Index targets

	Dec '26 Target	04-Mar-26	% upside
MSCI EUROZONE	385	359	7%
FTSE 100	10,300	10,568	-3%
MSCI EUROPE	2,530	2,435	4%
DJ EURO STOXX 50	6,350	5,871	8%
DJ STOXX 600 E	630	613	3%

Source: J.P. Morgan

Table 11: Key sector calls

Overweight	Neutral	Underweight
Mining	Autos	Energy
Capital Goods	Telecoms	Media
Construction Materials	Real Estate	Utilities
Luxury	Chemicals	Staples
Healthcare	Banks	Insurance
Semis	Technology Hardware	Software

Source: J.P. Morgan.

Table 12: J.P. Morgan Equity Strategy — Key sector calls*

Sector	Recommendations	Key Drivers
Luxury	Overweight	Recovery in China through stabilization in Chinese house prices and strong equity market to support consumer sentiment
Cap Goods	Overweight	Strong earnings and record high margins driven by AI and electrification; to benefit from capex surge and fiscal spending
Metals & Mining	Overweight	Big underperformance since Jan '23, stronger China outlook, weaker USD and low metal inventories
Utilities	Underweight	AI driven power rally that led to a strong rally in 2025 is fading
Insurance	Underweight	Margins to be under pressure as credit spreads begin to widen and premiums start to fall

Source: J.P. Morgan estimates. * Please see the last page for the full list of our calls and sector allocation.

Table 13: J.P. Morgan Equity Strategy — Key regional calls

Region	Recommendations	J.P. Morgan Views
EM	Overweight	EM are underowned, valuations look attractive, Weaker USD & bond yields help, and worst of trade uncertainty behind us
DM	Underweight	
US	Neutral	Expensive with earnings risk and stretched investor positioning
Japan	Neutral	Fundamentally continues to look robust, had a strong run in the past 8-9 months
Eurozone	Overweight	Believe renewed Eurozone push is likely driven by political catalysts, attractive relative valuations,
UK	Neutral	Valuations look attractive, low beta with the highest regional dividend yield

Source: J.P. Morgan estimates.

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Top Picks

Table 14: J.P. Morgan European Strategy: Top European picks

					Market Cap	EPS Growth			Dividend Yield	12m Fwd P/E			Performance	
Name	Ticker	Sector	Price	Currency	(€ Bn)	25	26e	27e	26e	Current	10Y Median	% Premium	-3m	-12m
ANTOFAGASTA PLC	ANTO LN	Materials	4045	E	45.8	105%	29%	3%	0.6%	31.3	21.4	47%	36%	137%
ARGENX SE	ARGX BB	Health Care	642	E	39.8	3538%	59%	26%	0.0%	25.9	-24.0	-	-19%	9%
ASML HOLDING NV	ASML NA	IT	1200	E	465.7	28%	20%	30%	0.5%	37.4	28.6	30%	25%	82%
ASTRAZENECA PLC	AZN LN	Health Care	15088	E	268.8	12%	12%	13%	1.5%	19.0	18.0	6%	12%	25%
BARCLAYS PLC	BARC LN	Financials	431	E	68.2	27%	9%	17%	1.9%	7.7	7.3	5%	-2%	47%
BAYERISCHE MOTOREN WERKE AG	BMW GR	Discretionary	83	E	51.3	-8%	3%	13%	5.2%	7.3	7.1	3%	-11%	2%
BT GROUP PLC	BT/A LN	Telecoms	207	E	23.6	1%	-5%	3%	3.9%	11.6	8.3	40%	15%	33%
CAIXABANK SA	CABK SM	Financials	10	E	71.2	5%	5%	14%	5.2%	11.8	9.3	27%	1%	53%
CARLSBERG AS-B	CARLB DC	Staples	935	E	16.8	11%	6%	10%	2.9%	14.5	19.7	-26%	15%	2%
CIE FINANCIERE RICHEMO-A REG	CFR SW	Discretionary	146	E	95.0	-1%	-1%	13%	1.7%	22.2	21.8	2%	-16%	-20%
DEUTSCHE BANK AG-REGISTERED	DBK GR	Financials	29	E	54.8	27%	6%	13%	1.6%	8.3	9.6	-13%	-7%	45%
DSV A/S	DSV DC	Industrials	1635	E	52.6	-1%	27%	32%	0.4%	23.5	22.6	4%	7%	17%
FINECOBANK SPA	FBK IM	Financials	19	E	11.9	-1%	3%	10%	3.8%	17.5	19.6	-10%	-6%	11%
FRESENIUS SE & CO KGAA	FRE GR	Health Care	49	E	27.3	-28%	64%	11%	2.1%	12.9	12.2	5%	2%	23%
FRESNILLO PLC	FRES LN	Materials	3852	E	32.6	465%	53%	-4%	0.5%	16.7	20.8	-20%	41%	394%
HEIDELBERG MATERIALS AG	HEI GR	Materials	180	E	32.2	22%	14%	12%	1.8%	12.8	9.7	33%	-17%	21%
INDUSTRIA DE DISENO TEXTIL	ITX SM	Discretionary	53	E	166.0	9%	6%	9%	2.9%	23.6	22.8	4%	-3%	5%
JERONIMO MARTINS	JMT PL	Staples	21	E	13.4	-	-	14%	2.8%	16.2	20.2	-20%	6%	2%
LEONARDO SPA	LDO IM	Industrials	60	E	34.9	39%	19%	18%	0.9%	25.0	9.7	157%	28%	39%
MARKS & SPENCER GROUP PLC	MKS LN	Staples	379	E	9.0	31%	-25%	45%	0.8%	11.5	11.2	3%	12%	1%
NOKIA OYJ	NOKIA FH	IT	7	E	40.4	-26%	8%	16%	2.0%	21.0	14.6	43%	32%	50%
NOVONESIS (NOVOZYMES) B	NSISB DC	Materials	373	E	23.4	16%	36%	11%	1.1%	23.9	28.7	-17%	-7%	-14%
ORANGE	ORA FP	Telecoms	18	E	46.9	-	33%	8%	4.1%	15.4	10.4	48%	26%	51%
PRUDENTIAL PLC	PRU LN	Financials	1099	E	32.0	17%	11%	15%	1.6%	12.9	10.8	19%	0%	54%
REPSOL SA	REP SM	Energy	20	E	22.2	-16%	9%	8%	4.5%	8.2	7.6	8%	24%	70%
ROLLS-ROYCE HOLDINGS PLC	RR/ LN	Industrials	1363	E	131.9	46%	16%	13%	0.4%	37.5	26.5	42%	25%	73%
RWE AG	RWE GR	Utilities	53	E	39.9	-27%	10%	23%	1.9%	20.4	14.2	44%	23%	74%
SAIPEM SPA	SPM IM	Energy	3	E	6.7	0%	60%	20%	4.6%	13.1	15.6	-16%	38%	64%
SAP SE	SAP GR	IT	168	E	206.5	37%	18%	17%	1.3%	22.2	21.6	3%	-21%	-36%
SEGRO PLC	SGRO LN	Real Estate	805	E	12.5	6%	5%	4%	3.6%	20.6	25.6	-20%	14%	17%
SHELL PLC	SHEL LN	Energy	3064	E	199.2	-17%	1%	15%	3.4%	12.9	10.4	24%	9%	19%
SIEMENS AG-REG	SIE GR	Industrials	234	E	182.8	17%	-12%	15%	2.2%	20.0	15.0	34%	2%	7%
SIEMENS ENERGY AG	ENR GR	Industrials	163	E	140.5	-	148%	33%	0.0%	33.6	30.4	11%	40%	209%
SSE PLC	SSE LN	Utilities	2653	E	36.9	13%	-7%	22%	2.3%	14.6	12.2	19%	21%	76%
STANDARD CHARTERED PLC	STAN LN	Financials	1715	E	44.3	36%	5%	17%	1.6%	9.7	9.2	5%	3%	38%
UNILEVER PLC	ULVR LN	Staples	5115	E	128.4	-8%	3%	7%	3.4%	18.4	18.6	-1%	8%	3%
UNIVERSAL MUSIC GROUP NV	UMG NA	Telecoms	19	E	34.6	6%	7%	11%	2.8%	16.9	24.9	-32%	-12%	-28%
VOLVO AB-B SHS	VOLVB SS	Industrials	340	E	64.7	-32%	22%	16%	5.4%	15.6	12.0	30%	18%	6%

Source: Datastream, MSCI, IBES, J.P. Morgan, Prices and Valuations as of COB 4th Mar, 2026. Past performance is not indicative of future returns.

Please see the most recent company-specific research published by J.P. Morgan for an analysis of valuation methodology and risks on companies recommended in this report. Research is available at http://www.jpmorganmarkets.com

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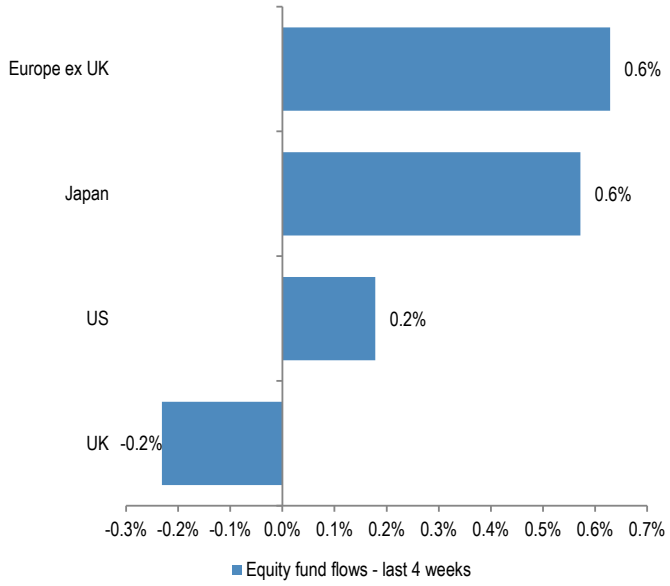
Equity Flows Snapshot

Table 15: DM Equity Fund Flows Summary

	Regional equity fund flows									
	$mn					% AUM				
	1w	1m	3m	YTD	12m	1w	1m	3m	YTD	12m
Europe ex UK	824	3,024	4,214	2,408	18,947	0.2%	0.6%	1.0%	0.5%	5.3%
UK	115	-752	-3,613	-2,693	-31,243	0.0%	-0.2%	-1.2%	-0.9%	-11.2%
US	2,218	26,834	115,992	36,831	336,634	0.0%	0.2%	0.8%	0.3%	2.6%
Japan	1,898	6,232	5,202	8,326	1,825	0.2%	0.6%	0.5%	0.8%	0.2%

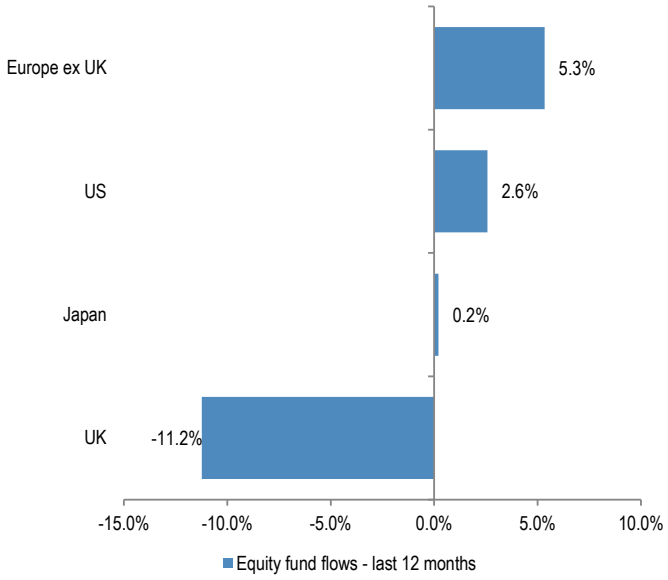
Source: EPFR, as of 26th Feb, 2026

Figure 29: DM Equity Fund flows – last month



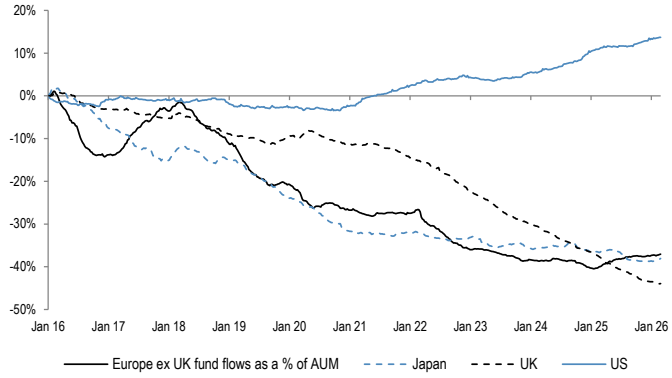
Source: EPFR, Japan includes BoJ purchases.

Figure 30: DM Equity Fund flows – last 12 months



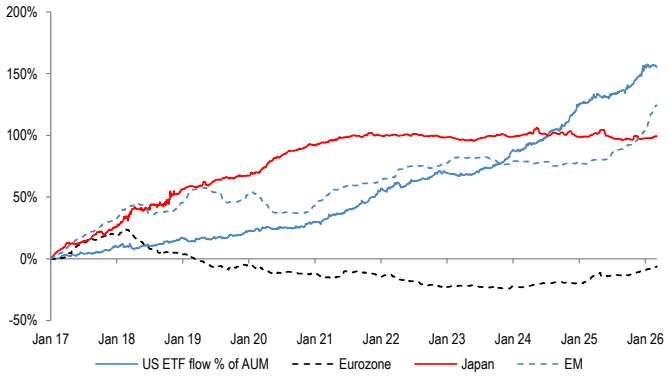
Source: EPFR, Japan includes BoJ purchases.

Figure 31: Cumulative fund flows into regional funds as a percentage of AUM



Source: EPFR, as of 26th Feb, 2026. Japan includes Non-ETF purchases only.

Figure 32: Cumulative fund flows into regional equity ETFs as a percentage of AUM



Source: Bloomberg Finance L.P. *Based on the 25 biggest ETF's with a mandate to invest in that particular region. Japan includes BoJ purchases.

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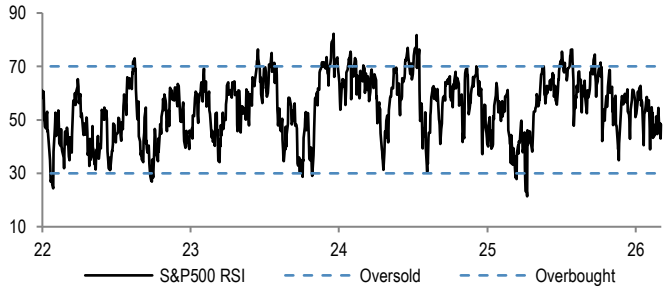
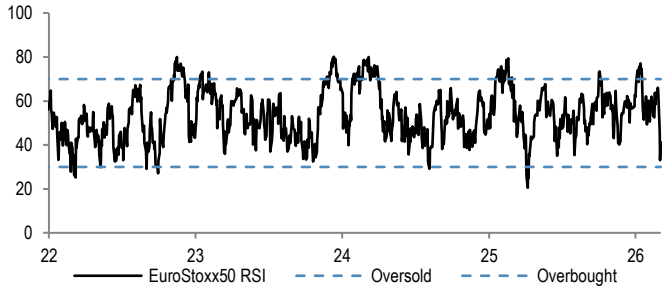
Technical Indicators

Figure 33: S&P500 RSI



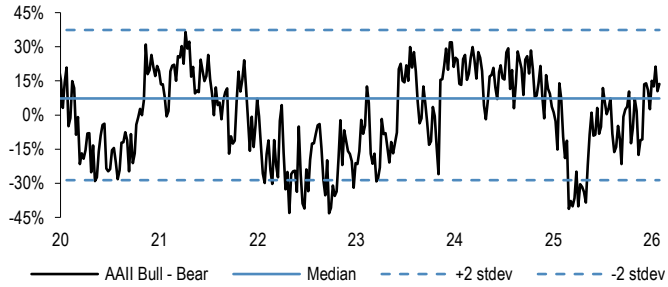
Source: Bloomberg Finance L.P.

Figure 34: EuroStoxx50 RSI



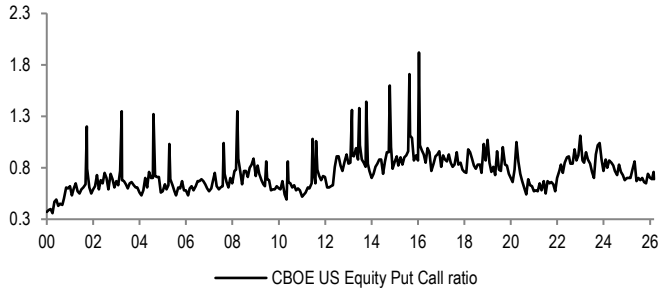
Source: Bloomberg Finance L.P.

Figure 35: AAII Bull-Bear



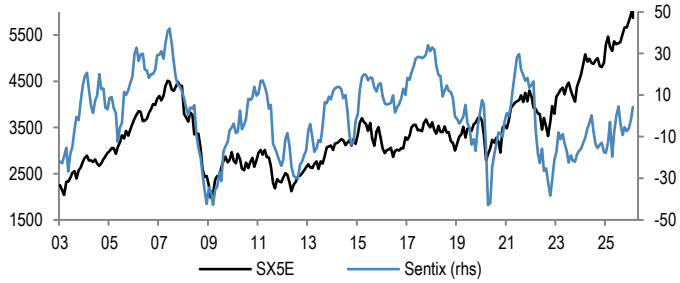
Source: Bloomberg Finance L.P

Figure 36: Put-call ratio



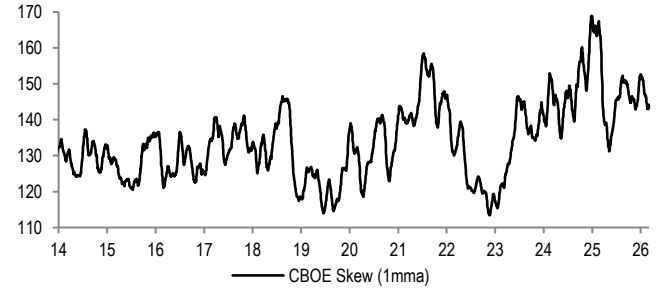
Source: Bloomberg Finance L.P.

Figure 37: Sentix Sentiment Index vs SX5E



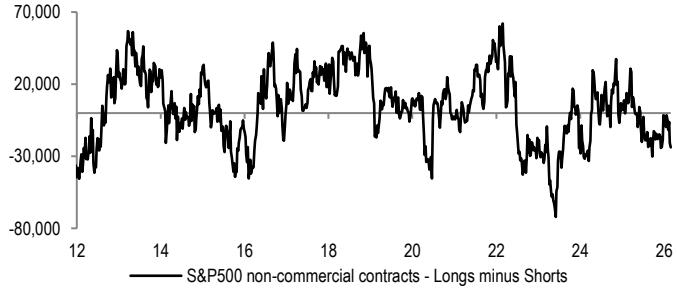
Source: Bloomberg Finance L.P.

Figure 38: Equity Skew



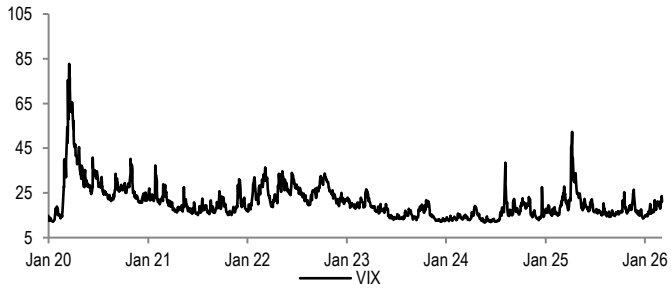
Source: Bloomberg Finance L.P.

Figure 39: Speculative positions in S&P500 futures contracts



Source: Bloomberg Finance L.P.

Figure 40: VIX



Source: Bloomberg Finance L.P.

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Performance

Table 16: Sector Index Performances — MSCI Europe

(%change)		Local currency		
Industry Group		**4week**	**12m**	**YTD**
Europe		**(0.5)**	**11.2**	**3.0**
Energy		**7.4**	**24.0**	**16.2**
Materials		**(0.8)**	**12.9**	**7.4**
	Chemicals	(3.0)	(14.0)	0.4
	Construction Materials	(11.6)	14.9	(14.8)
	Metals & Mining	3.9	65.3	22.8
Industrials		**1.7**	**21.2**	**7.2**
	Capital Goods	2.2	28.2	9.5
	Transport	(5.1)	19.6	2.9
	Business Svs	5.0	(27.8)	(12.7)
Consumer Discretionary		**(4.9)**	**(16.9)**	**(12.1)**
	Automobile	(6.3)	(13.6)	(7.6)
	Consumer Durables	(4.8)	(24.6)	(16.2)
	Media	8.1	(18.1)	(11.4)
	Retailing	(5.0)	6.7	(10.1)
	Hotels,Restaurants&Leisure	(3.6)	(20.5)	(8.8)
Consumer Staples		**(0.2)**	**1.7**	**4.2**
	Food & Drug Retailing	7.7	18.3	11.5
	Food Beverage & Tobacco	0.3	(0.3)	3.8
	Household Products	(3.7)	1.2	2.6
Healthcare		**(0.7)**	**(0.7)**	**2.8**
Financials		**(5.9)**	**19.8**	**(3.3)**
	Banks	(7.7)	38.8	(0.9)
	Diversified Financials	(2.5)	(3.9)	(6.3)
	Insurance	(3.8)	5.3	(6.2)
Real Estate		**3.0**	**13.9**	**5.2**
Information Technology		**4.9**	**18.0**	**10.6**
	Software and Services	(0.9)	(34.6)	(18.6)
	Technology Hardware	11.0	18.4	9.7
	Semicon & Semicon Equip	6.3	71.0	29.2
Telecommunications Services		**7.0**	**0.7**	**7.1**
Utilities		**2.9**	**41.9**	**12.3**

Source: MSCI, Datastream, As at COB 4th Mar, 2026

Table 17: Country and Region Index Performances

(%change)		Local Currency			US$		
Country	**Index**	**4week**	**12m**	**YTD**	**4week**	**12m**	**YTD**
Austria	ATX	(4.0)	35.9	3.6	(5.3)	50.2	2.6
Belgium	BEL 20	(4.2)	20.1	4.6	(5.4)	32.8	3.7
Denmark	KFX	(11.5)	(31.9)	(11.0)	(12.7)	(24.9)	(11.8)
Finland	HEX 20	0.3	25.4	4.8	(1.1)	38.7	3.9
France	CAC 40	(1.1)	1.5	0.2	(2.5)	12.2	(0.7)
Germany	DAX	(1.6)	8.4	(1.2)	(2.9)	19.9	(2.0)
Greece	ASE General	(10.2)	34.9	1.9	(11.4)	49.1	1.0
Ireland	ISEQ	(6.2)	18.2	(3.2)	(7.5)	30.7	(4.1)
Italy	FTSE MIB	(2.8)	20.1	0.9	(4.1)	32.8	(0.0)
Japan	Topix	(0.6)	34.1	6.6	(0.9)	26.6	6.3
Netherlands	AEX	1.0	9.4	5.1	(0.4)	21.0	4.2
Norway	OBX	8.4	25.6	14.6	9.1	45.9	19.9
Portugal	BVL GEN	0.3	31.8	7.9	(1.1)	45.7	7.0
Spain	IBEX 35	(3.4)	34.2	1.0	(4.7)	48.4	0.1
Sweden	OMX	0.0	17.4	8.2	(1.8)	34.9	8.7
Switzerland	SMI	0.0	3.9	1.8	(0.4)	18.6	3.4
United States	S&P 500	(0.2)	18.9	0.4	(0.2)	18.9	0.4
United States	NASDAQ	(0.4)	24.7	(1.9)	(0.4)	24.7	(1.9)
United Kingdom	FTSE 100	1.6	20.6	6.4	(0.6)	26.8	5.7
EMU	MSCI EMU	(1.4)	12.7	2.1	(2.7)	24.6	1.2
Europe	**MSCI Europe**	**(0.5)**	**11.2**	**3.0**	**(1.9)**	**22.3**	**2.7**
Global	MSCI AC World	(0.2)	18.5	1.3	(0.4)	20.5	1.3

Source: MSCI, Datastream, As at COB 4th Mar 2026

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Earnings

Table 18: IBES Consensus EPS Sector Forecasts — MSCI Europe

	EPS Growth (%yoy)			
	2025E	2026E	2027E	2028E
Europe	**1.4**	**10.7**	**12.2**	**10.4**
Energy	**(14.5)**	**(0.0)**	**14.7**	**11.1**
Materials	**(6.0)**	**23.2**	**11.5**	**6.5**
Chemicals	(1.9)	4.2	12.5	8.8
Construction Materials	(9.3)	9.3	12.0	8.3
Metals & Mining	(6.5)	49.5	8.8	4.4
Industrials	**9.3**	**9.5**	**14.5**	**12.2**
Capital Goods	11.6	10.5	15.2	12.6
Transport	(2.8)	2.2	12.2	10.6
Business Svs	6.6	10.5	10.6	10.0
Discretionary	**(39.1)**	**66.7**	**17.4**	**16.0**
Automobile	(86.7)	522.9	23.2	16.6
Consumer Durables	(5.7)	12.7	13.8	13.0
Media	19.7	12.0	14.4	10.4
Retailing	19.7	13.9	13.3	20.0
Hotels,Restaurants&Leisure	12.4	11.8	13.9	14.8
Staples	**(1.5)**	**4.0**	**7.9**	**7.1**
Food & Drug Retailing	0.9	11.0	8.8	8.6
Food Beverage & Tobacco	(1.2)	3.0	8.0	7.5
Household Products	(3.5)	3.8	7.1	5.5
Healthcare	**8.4**	**5.5**	**9.5**	**10.6**
Financials	**10.8**	**7.7**	**11.6**	**9.7**
Banks	11.9	7.0	12.1	10.3
Diversified Financials	(0.8)	13.9	16.6	17.2
Insurance	16.0	5.9	7.3	3.2
Real Estate	**19.2**	**(1.3)**	**6.2**	**4.5**
IT	**9.8**	**13.7**	**23.6**	**16.4**
Software and Services	23.9	9.4	18.9	14.0
Technology Hardware	(3.4)	1.7	7.9	11.7
Semicon & Semicon Equip	7.1	22.3	32.8	19.3
Telecoms	**3.4**	**12.9**	**12.7**	**9.0**
Utilities	**(0.0)**	**5.4**	**7.2**	**6.0**

Source: IBES, MSCI, Datastream. As at COB 4th Mar, 2026

Table 19: IBES Consensus EPS Country Forecasts

		EPS growth (%change)			
Country	Index	2025E	2026E	2027E	2028E
Austria	ATX	8.4	18.5	10.9	6.0
Belgium	BEL 20	17.2	12.1	14.6	13.5
Denmark	Denmark KFX	(0.3)	(3.1)	5.6	12.3
Finland	MSCI Finland	4.1	8.9	16.4	8.7
France	CAC 40	(11.4)	21.1	12.4	11.5
Germany	DAX	1.8	8.9	14.7	11.6
Greece	MSCI Greece	5.6	9.2	10.0	2.7
Ireland	MSCI Ireland	0.7	10.5	11.2	11.9
Italy	MSCI Italy	(17.4)	30.2	12.5	9.1
Netherlands	AEX	(14.1)	12.5	15.9	13.3
Norway	MSCI Norway	(13.0)	15.7	8.8	7.5
Portugal	MSCI Portugal	28.5	3.8	7.8	6.9
Spain	IBEX 35	4.8	8.4	11.5	8.2
Sweden	OMX	(5.0)	8.0	6.8	7.7
Switzerland	SMI	7.0	6.7	9.8	8.0
United Kingdom	FTSE 100	6.8	9.2	11.3	9.7
EMU	MSCI EMU	(0.9)	13.2	13.6	11.2
Europe ex UK	MSCI Europe ex UK	(0.3)	11.4	12.6	10.6
Europe	MSCI Europe	1.4	10.7	12.2	10.4
United States	S&P 500	13.9	15.4	16.5	13.7
Japan	Topix	10.0	7.1	13.2	10.2
Emerging Market	MSCI EM	13.3	31.2	15.7	9.2
Global	MSCI AC World	10.6	16.9	14.8	11.8

Source: IBES, MSCI, Datastream. As at COB 4th Mar, 2026**Japan refers to the period from March in the year stated— EPS post-goodwill

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Valuations

Table 20: IBES Consensus European Sector Valuations

	P/E			Dividend Yield			EV/EBITDA			Price to Book		
	2025e	2026e	2027e	2025e	2026e	2027e	2025e	2026e	2027e	2025e	2026e	2027e
Europe	**17.3**	**15.7**	**14.0**	**2.9%**	**3.2%**	**3.4%**	**9.6**	**9.3**	**8.6**	**2.3**	**2.2**	**2.1**
Energy	**12.7**	**12.7**	**11.1**	**4.3%**	**4.7%**	**4.9%**	**3.9**	**4.5**	**4.1**	**1.4**	**1.4**	**1.3**
Materials	**20.9**	**17.0**	**15.2**	**2.5%**	**2.9%**	**3.2%**	**8.9**	**8.2**	**7.6**	**2.1**	**1.9**	**1.8**
Chemicals	20.7	19.9	17.7	2.9%	3.0%	3.2%	11.3	11.0	10.0	2.2	2.0	1.9
Construction Materials	18.1	16.6	14.8	2.3%	2.4%	2.7%	10.2	9.1	8.1	1.9	1.7	1.6
Metals & Mining	22.3	14.9	13.7	2.2%	2.8%	3.1%	7.2	6.7	6.3	2.2	2.1	2.0
Industrials	**24.7**	**22.5**	**19.7**	**1.8%**	**2.0%**	**2.2%**	**12.1**	**11.9**	**10.6**	**4.4**	**4.1**	**3.7**
Capital Goods	26.5	24.0	20.8	1.7%	1.9%	2.1%	13.6	13.2	11.7	4.9	4.6	4.1
Transport	17.0	16.6	14.8	2.7%	2.6%	2.8%	6.9	7.3	6.8	2.1	2.0	1.9
Business Svs	18.4	16.7	15.1	2.9%	3.1%	3.3%	13.3	11.1	10.2	6.6	6.1	5.5
Discretionary	**24.2**	**14.5**	**12.4**	**2.4%**	**2.7%**	**3.0%**	**8.7**	**6.5**	**5.8**	**2.2**	**1.9**	**1.8**
Automobile	52.1	8.4	6.8	3.7%	4.3%	5.0%	2.6	1.7	1.4	0.7	0.6	0.6
Consumer Durables	25.3	22.4	19.7	1.9%	2.0%	2.3%	16.7	13.8	12.2	4.3	3.8	3.5
Media & Entertainment	22.0	19.7	17.2	1.5%	1.6%	1.8%	17.7	13.3	11.9	5.1	4.5	3.9
Retailing	16.4	14.4	12.7	2.1%	2.5%	2.7%	14.6	12.3	11.5	5.4	3.6	3.3
Hotels,Restaurants&Leisure	18.5	16.6	14.6	2.9%	3.1%	3.4%	11.2	9.6	8.8	4.5	4.2	3.8
Staples	**17.7**	**17.1**	**15.8**	**3.1%**	**3.2%**	**3.4%**	**10.9**	**10.6**	**9.8**	**3.1**	**3.0**	**2.8**
Food & Drug Retailing	15.3	13.8	12.7	3.2%	3.6%	3.7%	6.4	6.5	6.3	2.2	2.1	2.0
Food Beverage & Tobacco	17.5	17.0	15.7	3.4%	3.5%	3.7%	11.3	10.6	9.7	2.9	2.7	2.6
Household Products	19.7	19.0	17.7	2.6%	2.7%	2.8%	13.0	13.1	12.1	4.5	4.2	3.9
Healthcare	**17.4**	**16.5**	**15.1**	**2.3%**	**2.4%**	**2.6%**	**11.7**	**11.6**	**11.1**	**3.6**	**3.3**	**3.0**
Financials	**11.3**	**10.5**	**9.4**	**4.3%**	**4.9%**	**5.3%**	**-**	**-**	**-**	**1.4**	**1.5**	**1.4**
Banks	10.4	9.8	**8.7**	4.6%	5.3%	5.8%	-	-	-	1.2	1.3	1.2
Diversified Financials	13.6	11.9	10.2	2.7%	3.0%	3.3%	-	-	-	1.5	1.6	1.5
Insurance	12.0	11.3	10.6	4.8%	5.3%	5.7%	-	-	-	2.1	2.0	1.8
Real Estate	**13.3**	**13.5**	**12.7**	**4.3%**	**4.5%**	**4.7%**	**-**	**-**	**-**	**0.8**	**0.8**	**0.8**
IT	**33.5**	**29.4**	**23.8**	**1.0%**	**1.1%**	**1.3%**	**18.6**	**17.4**	**13.6**	**5.6**	**5.2**	**4.7**
Software and Services	24.3	22.2	18.7	1.5%	1.6%	1.8%	19.6	13.7	10.1	3.9	3.4	3.1
Technology Hardware	20.0	19.7	18.2	1.8%	2.0%	2.1%	10.0	9.9	9.3	2.8	2.6	2.5
Semicon & Semicon Equip	46.5	38.0	28.6	0.6%	0.7%	0.9%	22.4	24.1	18.3	9.8	9.3	8.2
Communication Services	**19.5**	**17.3**	**15.3**	**3.1%**	**3.3%**	**3.5%**	**7.4**	**7.1**	**6.7**	**2.4**	**2.2**	**2.1**
Utilities	**16.9**	**16.0**	**14.9**	**3.8%**	**4.0%**	**4.1%**	**8.9**	**9.7**	**9.4**	**2.1**	**2.0**	**1.9**

Source: IBES, MSCI, Datastream. As at COB 4th Mar, 2026.

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Table 21: IBES Consensus P/E and 12-Month Forward Dividend Yields — Country Forecasts

		P/E				Dividend Yield
Country	Index	12mth Fwd	2026E	2027E	2028E	12mth Fwd
Austria	ATX	10.6	10.8	9.7	9.1	4.2%
Denmark	Denmark KFX	14.8	14.9	14.1	12.6	3.0%
Finland	MSCI Finland	20.1	20.7	17.8	16.4	3.2%
France	CAC 40	14.9	15.2	13.5	12.1	3.2%
Germany	DAX	14.2	14.6	12.7	11.5	3.0%
Greece	MSCI Greece	18.7	19.0	17.3	16.9	2.7%
Ireland	MSCI Ireland	11.6	11.7	10.5	9.4	3.0%
Italy	MSCI Italy	12.9	13.1	11.7	10.7	4.8%
Netherlands	AEX	17.5	17.9	15.4	13.6	2.2%
Norway	MSCI Norway	14.5	14.7	13.5	12.6	5.0%
Portugal	MSCI Portugal	14.6	14.8	13.7	12.9	3.8%
Spain	IBEX 35	13.8	14.1	12.6	11.7	3.8%
Sweden	OMX	18.0	18.2	17.0	15.8	3.0%
Switzerland	SMI	18.1	18.4	16.7	15.5	2.9%
United Kingdom	FTSE 100	13.9	14.1	12.7	11.6	3.3%
EMU	MSCI EMU	15.1	15.5	13.7	12.3	3.1%
Europe ex UK	MSCI Europe ex UK	15.9	16.3	14.4	13.1	3.0%
Europe	**MSCI Europe**	**15.4**	15.7	14.0	12.7	**3.1%**
United States	S&P 500	21.5	22.3	19.2	16.9	1.2%
Japan	Topix	16.1	18.1	16.0	14.5	2.2%
Emerging Market	MSCI EM	13.2	13.6	10.8	10.6	2.4%
Global	MSCI AC World	18.9	19.4	16.6	15.3	1.8%

Source: IBES, MSCI, Datastream. As at COB 4th Mar, 2026; **Japan refers to the period from March in the year stated-P/E post goodwill.

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Economic, Interest Rate and Exchange Rate Outlook

Table 22: Economic Outlook in Summary

	Real GDP % oya			Real GDP						Consumer prices % oya			
	2025	2026E	2027E	1Q26E	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	4Q25	2Q26	4Q26	2Q27
United States	2.2	2.4	2.0	2.7	2.0	1.5	1.7	2.3	2.3	2.7	2.9	3.0	2.4
Eurozone	1.5	1.4	1.5	1.3	1.5	1.7	1.7	1.5	1.5	2.1	2.3	2.1	1.7
United Kingdom	1.3	0.8	1.1	1.2	1.0	1.2	1.2	1.2	1.0	3.4	2.2	2.2	2.3
Japan	1.1	0.6	0.8	1.5	1.3	1.0	0.8	0.7	0.7	2.7	1.7	2.2	2.5
Emerging markets	4.2	4.1	3.7	4.5	3.9	3.4	3.3	3.9	3.9	2.8	2.9	2.6	-
Global	2.8	2.8	2.5	3.1	2.6	2.3	2.4	2.7	2.7	2.7	2.7	2.6	-

Source: J.P. Morgan Economic Research estimates, as of 4th Mar, 2026

Table 23: Official Rates Outlook

					Forecast for			
	Official interest rate	Current	Last change (bp)	Forecast next change (bp)	Mar 26	Jun 26	Sep 26	Dec 26
United States	Federal funds rate	3.75	10 Dec 25 (-25bp)	Sep 27 (+25bp)	3.75	3.75	3.75	3.75
Eurozone	Depo rate	2.00	5 Jun 25 (-25bp)	On hold	2.00	2.00	2.00	2.00
United Kingdom	Bank Rate	3.75	7 Aug 25 (-25bp)	Mar 26 (-25bp)	3.50	3.25	3.25	3.25
Japan	Pol rate IOER	0.75	19 Dec 25 (+25bp)	Apr 26 (+25bp)	0.75	1.00	1.00	1.25

Source: J.P. Morgan estimates, Datastream, as of 4th Mar, 2026

Table 24: 10-Year Government Bond Yield Forecasts

10 Yr Govt BY		Forecast for end of			
	5-Mar-26	Mar 26	Jun 26	Sep 26	Dec 26
US	4.12	4.20	4.25	4.30	4.35
Euro Area	2.75	2.70	2.70	2.70	2.75
United Kingdom	4.44	4.40	4.60	4.75	4.75
Japan	2.16	2.10	2.20	2.25	2.40

Source: J.P. Morgan estimates, Datastream, forecasts as of 4th Mar, 2026

Table 25: Exchange Rate Forecasts vs. US Dollar

Exchange rates vs US$		Forecast for end of			
	4-Mar-26	Mar 26	Jun 26	Sep 26	Dec 26
EUR	1.16	1.18	1.20	1.20	1.20
GBP	1.34	1.37	1.41	1.40	1.36
CHF	0.78	0.79	0.78	0.78	0.78
JPY	157	157	158	160	164
DXY	98.8	97.6	96.3	96.6	97.3

Source: J.P. Morgan estimates, Datastream, forecasts as of 4th Mar, 2026

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Sector, Regional and Asset Class Allocations

Table 26: J.P. Morgan Equity Strategy — European Sector Allocation

		MSCI Europe Weights	Allocation	Deviation	Recommendation
Energy		**4.3%**	3.0%	-1.3%	**UW**
Materials		**5.4%**	8.0%	2.6%	**OW**
	Chemicals				N
	Construction Materials				OW
	Metals & Mining				OW
Industrials		**19.7%**	21.0%	1.3%	**OW**
	Capital Goods				OW
	Transport				N
	Business Services				N
Consumer Discretionary		**5.7%**	8.0%	2.3%	**OW**
	Automobile				N
	Consumer Durables				OW
	Consumer Srvcs				N
	Speciality Retail				N
	Internet Retail				N
Consumer Staples		**9.2%**	7.0%	-2.2%	**UW**
	Food & Drug Retailing				UW
	Beverages				UW
	Food & Tobacco				UW
	Household Products				UW
Healthcare		**14.2%**	16.0%	1.8%	**OW**
Financials		**23.4%**	22.0%	-1.4%	**N**
	Banks				N
	Insurance				UW
Real Estate		**0.7%**	1.0%	0.3%	**N**
Information Technology		**7.8%**	7.0%	-0.8%	**N**
	Software and Services				UW
	Technology Hardware				N
	Semicon & Semicon Equip				OW
Communication Services		**4.8%**	4.0%	-0.8%	**N**
	Telecommunication Services				N
	Media				UW
Utilities		**4.9%**	3.0%	-1.9%	**UW**
		100.0%	**100.0%**	**0.0%**	**Balanced**

Source: MSCI, Datastream, J.P. Morgan.

Table 27: J.P. Morgan Equity Strategy — Global Regional Allocation

	MSCI Weight	Allocation	Deviation	Recommendation
EM	11.9%	14.0%	2.1%	Overweight
DM	88.1%	86.0%	-2.1%	Underweight
US	72.2%	73.0%	0.8%	Neutral
Japan	5.8%	6.0%	0.2%	Neutral
Eurozone	9.2%	11.0%	1.8%	Overweight
UK	3.9%	3.0%	-0.9%	Neutral
Others*	9.0%	7.0%	-2.0%	Underweight
	100.0%	**100.0%**	**0.0%**	**Balanced**

Source: MSCI, J.P. Morgan *Other includes Denmark, Switzerland, Australia, Canada, Hong Kong SAR, Sweden, Singapore, New Zealand, Israel and Norway

Table 28: J.P. Morgan Equity Strategy — European Regional Allocation

	MSCI Weight	Allocation	Deviation	Recommendation
Eurozone	53.6%	58.0%	4.4%	Overweight
United Kingdom	22.7%	21.0%	-1.7%	Neutral
Others**	23.7%	21.0%	-2.7%	Underweight
	100.0%			**Balanced**

Source: MSCI, J.P. Morgan **Other includes Denmark, Switzerland, Sweden and Norway

Table 29: J.P. Morgan Equity Strategy — Asset Class Allocation

	Benchmark weighting	Allocation	Deviation	Recommendation
Equities	60%	65%	5%	Overweight
Bonds	30%	30%	0%	Neutral
Cash	10%	5%	-5%	Underweight
	100%	**100%**	0%	**Balanced**

Source: MSCI, J.P. Morgan

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